Marketing Management - Set 2

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Which is the correct sequence of the buying decision process?
A. Problem recognition, information search, evaluation, purchase decision, purchase, post-purchase evaluation
B. Problem recognition, evaluation, information search, purchase, purchase decision, post-purchase
C. Purchase decision, evaluation, information search, problem recognition, purchase, post-purchase
D. Information search, problem recognition, purchase, evaluation, post-purchase evaluation, decision

2. Testing a questionnaire on a few respondents before the main survey is a
A. quota
B. pilot test
C. snowball
D. census

3. Press releases, events and sponsorship are tools of
A. public relations
B. price discrimination
C. sales promotion
D. logistics

4. A common strategy in the decline stage is to
A. use penetration pricing
B. enter many new channels
C. raise spending on launch advertising
D. harvest, divest or drop the product

5. Customers pay for a product if they perceive
A. profit of the firm
B. noise
C. value
D. luck

6. Marketing is both
A. a theory and a practice that has no scope for creativity
B. a tax and a duty collected by the government
C. a service and a product that cannot be separated
D. an art and a science

7. 'The Complete Man' positioning belongs to
A. OYO
B. Titan
C. Raymond
D. Kingfisher

8. In a closed question, the respondent
A. chooses nothing
B. chooses from stated alternatives
C. writes a long answer
D. is not asked anything

9. The 'core benefit' level of a product is
A. the basic need the buyer is really purchasing
B. its warranty and after-sales service
C. its price and discounts
D. its brand name and packaging

10. Which Indian brand owns the idea of 'unbreakable strength'?
A. Parle-G
B. Fevicol
C. Amul
D. Nirma

11. Placing a product in as many outlets as possible is
A. selective distribution
B. direct distribution
C. exclusive distribution
D. intensive distribution

12. A disadvantage of the production concept is
A. very high cost of research and development of new products
B. high prices that reduce the demand for the product
C. lack of innovation and poor customer service
D. heavy dependence on aggressive selling and high-pressure tactics

13. The 80:20 rule 'vital few and trivial many' is the
A. Pareto principle
B. Gordon model
C. central limit theorem
D. Bayes' theorem

14. 'The management process responsible for identifying, anticipating and satisfying customer requirements profitably' is from the
A. American Marketing Association
B. Reserve Bank of India
C. Chartered Institute of Marketing
D. Harvard Business Review

15. The number of different product lines a company sells is the product mix's
A. length
B. width
C. depth
D. consistency

16. Doubt about whether the right decision was made after a purchase is
A. problem recognition
B. brand loyalty
C. cognitive dissonance
D. perception

17. 'Positioning is not what you do to a product. It is what you do to the mind of the prospect.' was said by
A. Philip Kotler
B. Peter Drucker
C. Michael Porter
D. Al Ries and Jack Trout

18. Volvo owning the word 'safety' is positioning on
A. user
B. competitor
C. attribute
D. category

19. Building backlinks is part of
A. local SEO
B. technical SEO
C. on-page SEO
D. off-page SEO

20. Shampoo offered in 3 sizes and 4 fragrances shows product mix

A. consistency
B. depth
C. length of lines only
D. width

21. In which PLC stage are sales low and the firm usually makes a loss?
A. Maturity
B. Growth
C. Decline
D. Introduction

22. Research done to expand knowledge without a specific problem is
A. applied research
B. basic research
C. problem-solving research
D. causal research

23. A legally protected brand or part of a brand is a
A. package
B. brand mark
C. label
D. trademark

24. The added value a brand gives to a product is called
A. price skimming
B. brand name
C. brand equity
D. product depth

25. Which is a feature of marketing (as opposed to selling)?
A. Profit through sales volume
B. Product orientation
C. Short-term perspective
D. Profit through customer satisfaction

26. Uber, Slack and Duolingo illustrate the value proposition of
A. customer results
B. customisation
C. low pricing
D. quality

27. The first step in writing a value proposition is to
A. test the value proposition through A/B testing with customers
B. refine the message across all the customer touchpoints
C. determine the ideal customer profile (ICP)
D. write the final message and tagline for the campaign

28. A value proposition explains
A. how much profit the firm expects to earn in the coming year
B. the number of employees working in the firm at present
C. why a customer should choose you over competitors
D. the sources of finance used by the firm for its projects

29. The list of all eligible sampling units is the
A. quota
B. sampling error
C. sampling frame
D. census

30. Doubt after buying an expensive mattress with few brand differences is
A. variety-seeking behaviour
B. habitual behaviour

C. dissonance-reducing behaviour
D. complex behaviour

31. Segmentation helps small firms with limited resources to
A. increase costs
B. compete more efficiently
C. avoid competition entirely
D. avoid customers

32. The Price element of the mix corresponds to which of the 4Cs?
A. Communication
B. Customer cost
C. Customer solution
D. Convenience

33. 'Kuch Meetha Ho Jaye' repositioned Cadbury Dairy Milk from a children's treat to
A. a baby food meant only for infants and toddlers
B. a premium gift item bought only on special occasions
C. a treat for all ages and occasions
D. a medicine for the treatment of throat and cold

34. Every unit having a known, equal, non-zero chance of selection is
A. simple random sampling
B. judgment sampling
C. convenience sampling
D. quota sampling

35. Which is NOT an element of logistics?
A. Warehousing of finished goods in depots
B. Inventory management of the stock
C. Transportation of goods to the markets
D. Setting the product's brand name

36. Dividing customers into homogeneous sub-sets, each reached with a distinct marketing mix, is
A. market positioning
B. market skimming
C. market penetration
D. market segmentation

37. Marketing management is concerned with
A. planning, organising, directing and controlling marketing activities
B. recruiting, training and rewarding the employees of the firm
C. recording the transactions of the firm and preparing the final accounts
D. procuring the raw materials and converting them into finished goods

38. Salt and sugar marketed with one offer to the whole market illustrate
A. differentiated marketing
B. concentrated marketing
C. micromarketing
D. undifferentiated marketing

39. The first step in the marketing research process is to
A. collect data
B. choose sample size
C. define the research problem
D. prepare the report

40. After-sales services and handling of complaints form
A. customer support service
B. the pricing policy of the firm for different customer groups
C. the physical distribution of goods from the factory to the market
D. the grading and standardisation of the products of the firm

41. Plotting brands on two attributes to find white space is
A. SWOT analysis
B. perceptual mapping
C. break-even analysis
D. ABC analysis

42. The oldest and most basic marketing orientation is the
A. societal concept
B. marketing concept
C. selling concept
D. production concept

43. Store layout, music, lighting and scent are
A. legal factors
B. situational factors
C. economic factors
D. cultural factors

44. Research that tests cause-and-effect relationships through experiments is
A. secondary research
B. causal research
C. exploratory research
D. descriptive research

45. Packaging is often called the 'silent salesman' because it
A. sets the credit terms
B. controls the price of the product
C. promotes and identifies the product on the shelf
D. chooses the distribution channel

46. Luxury cars are usually sold through
A. vending machines
B. exclusive distribution
C. door-to-door selling
D. intensive distribution

47. Total error in a study is the sum of
A. response error and interviewer error only
B. sampling error and non-sampling error
C. census error and sample error added to the bias of the researcher
D. design error and administering error, excluding non-response error

48. Intense competition and price cutting are typical of the
A. idea stage
B. pre-launch stage
C. introduction stage
D. maturity stage

49. If unit cost is Rs 80 and mark-up is 25% on cost, the price is
A. Rs 100
B. Rs 120
C. Rs 95
D. Rs 105

50. Paid, non-personal presentation of ideas or products by an identified sponsor is
A. sales promotion
B. advertising
C. public relations
D. personal selling

Answer key - Set 2

1. **A**	11. **D**	21. **D**	31. **B**	41. **B**
2. **B**	12. **C**	22. **B**	32. **B**	42. **D**
3. **A**	13. **A**	23. **D**	33. **C**	43. **B**
4. **D**	14. **C**	24. **C**	34. **A**	44. **B**
5. **C**	15. **B**	25. **D**	35. **D**	45. **C**
6. **D**	16. **C**	26. **A**	36. **D**	46. **B**
7. **C**	17. **D**	27. **C**	37. **A**	47. **B**
8. **B**	18. **C**	28. **C**	38. **D**	48. **D**
9. **A**	19. **D**	29. **C**	39. **C**	49. **A**
10. **B**	20. **B**	30. **C**	40. **A**	50. **B**

Answers with explanations

1. Which is the correct sequence of the buying decision process?

Answer: A. Problem recognition, information search, evaluation, purchase decision, purchase, post-purchase evaluation

Why correct: Sequence: problem recognition, information search, evaluation, decision, purchase, post-purchase.

B is wrong: Evaluation follows information search.

C is wrong: Decision cannot come before searching.

D is wrong: Search cannot come before recognising the problem.

2. Testing a questionnaire on a few respondents before the main survey is a

Answer: B. pilot test

Why correct: A trial of the questionnaire on a few people is a pilot test.

A is wrong: A quota is a sampling method.

C is wrong: Snowball is a referral method.

D is wrong: A census is the whole population.

3. Press releases, events and sponsorship are tools of

Answer: A. public relations

Why correct: PR builds goodwill and a good image.

B is wrong: Discrimination is a price strategy.

C is wrong: Sales promotion uses incentives.

D is wrong: Logistics is physical distribution.

4. A common strategy in the decline stage is to

Answer: D. harvest, divest or drop the product

Why correct: Weak sales call for cutting costs or exiting.

A is wrong: Penetration pricing is for new products.

B is wrong: Wide expansion suits growth.

C is wrong: Heavy launch spending suits introduction.

5. Customers pay for a product if they perceive

Answer: C. value

Why correct: Customers pay when they perceive value in the offer.

A is wrong: The firm's profit does not matter to the buyer.

B is wrong: Noise is not a reason.

D is wrong: Luck is not a reason.

6. Marketing is both

Answer: D. an art and a science

Why correct: Marketing needs creativity (art) and also research, planning and measurement (science).

A is wrong: It has plenty of scope for creativity.

B is wrong: A tax is not marketing.

C is wrong: A service and a product are not what marketing is.

7. 'The Complete Man' positioning belongs to

Answer: C. Raymond

Why correct: 'The Complete Man' is Raymond's positioning.

A is wrong: OYO is hotels.

B is wrong: Titan is watches.

D is wrong: Kingfisher is beer.

8. In a closed question, the respondent

Answer: B. chooses from stated alternatives

Why correct: A closed question gives fixed choices.

A is wrong: The respondent does choose.

C is wrong: A long answer is open-ended.

D is wrong: It does ask something.

9. The 'core benefit' level of a product is

Answer: A. the basic need the buyer is really purchasing

Why correct: Core benefit is the fundamental want, e.g. communication from a phone.

B is wrong: Warranty and service belong to the augmented product.

C is wrong: Price is a separate element of the mix.

D is wrong: Brand and packaging belong to the actual product.

10. Which Indian brand owns the idea of 'unbreakable strength'?

Answer: B. Fevicol

Why correct: Fevicol owns the idea of unbreakable bonding strength.

A is wrong: Parle-G stands for energy biscuits.

C is wrong: Amul stands for taste and value.

D is wrong: Nirma stands for affordable washing.

11. Placing a product in as many outlets as possible is

Answer: D. intensive distribution

Why correct: It maximises availability for convenience goods.

A is wrong: Selective uses a limited number of outlets.

B is wrong: Direct means no intermediaries.

C is wrong: Exclusive uses only one outlet per area.

12. A disadvantage of the production concept is

Answer: C. lack of innovation and poor customer service

Why correct: The production concept neglects innovation and customer service.

A is wrong: That is a cost of the product concept.

B is wrong: It tends to lower, not raise, prices.

D is wrong: That describes the selling concept.

13. The 80:20 rule 'vital few and trivial many' is the

Answer: A. Pareto principle

Why correct: The 80:20 'vital few, trivial many' idea is the Pareto principle.

B is wrong: Gordon model is a share valuation.

C is wrong: Central limit theorem is about sampling distributions.

D is wrong: Bayes' theorem is conditional probability.

14. 'The management process responsible for identifying, anticipating and satisfying customer requirements profitably' is from the

Answer: C. Chartered Institute of Marketing

Why correct: The Chartered Institute of Marketing defines marketing as the management process that identifies, anticipates and satisfies requirements profitably.

A is wrong: The AMA has a different wording.

B is wrong: RBI is the central bank.

D is wrong: Harvard Business Review is a journal.

15. The number of different product lines a company sells is the product mix's

Answer: B. width

Why correct: Width counts the lines (soaps, detergents, foods...).

A is wrong: Length counts all items across all lines.

C is wrong: Depth counts versions of each product.

D is wrong: Consistency measures how related the lines are.

16. Doubt about whether the right decision was made after a purchase is

Answer: C. cognitive dissonance

Why correct: Post-purchase doubt is cognitive dissonance.

A is wrong: Problem recognition starts the process.

B is wrong: Brand loyalty is repeat preference.

D is wrong: Perception is how we interpret stimuli.

17. 'Positioning is not what you do to a product. It is what you do to the mind of the prospect.' was said by

Answer: D. Al Ries and Jack Trout

Why correct: Al Ries and Jack Trout wrote this line about positioning.

A is wrong: Kotler did not.

B is wrong: Drucker did not.

C is wrong: Porter did not.

18. Volvo owning the word 'safety' is positioning on

Answer: C. attribute

Why correct: Volvo owns 'safety' - an attribute positioning.

A is wrong: User positioning targets a user group.

B is wrong: Competitor positioning compares.

D is wrong: Category positioning defines the category.

19. Building backlinks is part of

Answer: D. off-page SEO

Why correct: Backlinks come from other websites, so they are off-page SEO.

A is wrong: Local SEO targets local searches.

B is wrong: Technical SEO is site speed and structure.

C is wrong: On-page SEO is content on the site.

20. Shampoo offered in 3 sizes and 4 fragrances shows product mix

Answer: B. depth

Why correct: Depth is the number of versions of each product.

A is wrong: Consistency is about relatedness.

C is wrong: Length is the total count, not versions of one product.

D is wrong: Width is about the number of lines.

21. In which PLC stage are sales low and the firm usually makes a loss?

Answer: D. Introduction

Why correct: Promotion costs are high while sales are still small.

A is wrong: Profits peak around maturity.

B is wrong: Sales rise fast in growth.

C is wrong: Decline sees falling sales but costs are lower.

22. Research done to expand knowledge without a specific problem is

Answer: B. basic research

Why correct: Basic research expands knowledge without a specific problem.

A is wrong: Applied research solves a problem.

C is wrong: Problem-solving research addresses a problem.

D is wrong: Causal research tests cause and effect.

23. A legally protected brand or part of a brand is a

Answer: D. trademark

Why correct: Registration gives the owner exclusive rights.

A is wrong: A package holds the product.

B is wrong: A brand mark is just the symbol.

C is wrong: A label carries information.

24. The added value a brand gives to a product is called

Answer: C. brand equity

Why correct: It comes from awareness, loyalty, perceived quality and associations.

A is wrong: Skimming is a pricing method.

B is wrong: A name only identifies.

D is wrong: Depth is a product-mix term.

25. Which is a feature of marketing (as opposed to selling)?

Answer: D. Profit through customer satisfaction

Why correct: Marketing earns profit through customer satisfaction.

A is wrong: Profit through sales volume is selling.

B is wrong: Product orientation is the product concept.

C is wrong: Short-term is a selling view.

26. Uber, Slack and Duolingo illustrate the value proposition of

Answer: A. customer results

Why correct: Uber, Slack and Duolingo promise results for the customer.

B is wrong: They are not customised products.

C is wrong: They do not compete on price.

D is wrong: Quality is not their main claim.

27. The first step in writing a value proposition is to

Answer: C. determine the ideal customer profile (ICP)

Why correct: The first step is to identify the ideal customer profile (ICP).

A is wrong: Testing is later.

B is wrong: Refining touchpoints is later.

D is wrong: The final message is later.

28. A value proposition explains

Answer: C. why a customer should choose you over competitors

Why correct: A value proposition explains why a customer should choose you over competitors.

A is wrong: Expected profit is financial.

B is wrong: Employee count is HR.

D is wrong: Finance sources are financial.

29. The list of all eligible sampling units is the

Answer: C. sampling frame

Why correct: The list of all eligible units is the sampling frame.

A is wrong: A quota is a target.

B is wrong: Sampling error is a deviation.

D is wrong: A census covers all.

30. Doubt after buying an expensive mattress with few brand differences is

Answer: C. dissonance-reducing behaviour

Why correct: Doubt after buying with few brand differences is dissonance-reducing behaviour.

A is wrong: Variety-seeking is switching for fun.

B is wrong: Habitual is routine.

D is wrong: Complex needs big differences.

31. Segmentation helps small firms with limited resources to

Answer: B. compete more efficiently

Why correct: Segmentation lets small firms compete efficiently by focusing.

A is wrong: It aims to cut waste, not raise costs.

C is wrong: Competition cannot be avoided.

D is wrong: Firms cannot avoid customers.

32. The Price element of the mix corresponds to which of the 4Cs?

Answer: B. Customer cost

Why correct: The 4Cs restate the 4Ps from the buyer's view: price becomes cost.

A is wrong: Promotion maps to communication.

C is wrong: Product maps to customer solution.

D is wrong: Place maps to convenience.

33. 'Kuch Meetha Ho Jaye' repositioned Cadbury Dairy Milk from a children's treat to

Answer: C. a treat for all ages and occasions

Why correct: 'Kuch Meetha Ho Jaye' made Dairy Milk a treat for all ages and occasions.

A is wrong: It is not baby food.

B is wrong: It is not only a premium gift.

D is wrong: It is not medicine.

34. Every unit having a known, equal, non-zero chance of selection is

Answer: A. simple random sampling

Why correct: Equal known chance for every unit is simple random sampling.

B is wrong: Judgment relies on the researcher's choice.

C is wrong: Convenience takes what is easy.

D is wrong: Quota fills set numbers.

35. Which is NOT an element of logistics?

Answer: D. Setting the product's brand name

Why correct: Branding is a product decision.

A is wrong: Warehousing stores goods.

B is wrong: Inventory keeps right stock.

C is wrong: Transportation moves goods.

36. Dividing customers into homogeneous sub-sets, each reached with a distinct marketing mix, is

Answer: D. market segmentation

Why correct: Dividing customers into sub-sets each served with its own mix is market segmentation.

A is wrong: Positioning sets the image.

B is wrong: Skimming is a pricing method.

C is wrong: Penetration increases share.

37. Marketing management is concerned with

Answer: A. planning, organising, directing and controlling marketing activities

Why correct: Marketing management plans, organises, directs and controls marketing activities.

B is wrong: That is HR management.

C is wrong: That is accounting.

D is wrong: That is production/operations.

38. Salt and sugar marketed with one offer to the whole market illustrate

Answer: D. undifferentiated marketing

Why correct: One offer for the whole market is undifferentiated marketing.

A is wrong: Differentiated uses many offers.

B is wrong: Concentrated serves one segment.

C is wrong: Micromarketing tailors to individuals.

39. The first step in the marketing research process is to

Answer: C. define the research problem

Why correct: The first step is to define the research problem.

A is wrong: Data comes later.

B is wrong: Sample size comes after design.

D is wrong: The report is last.

40. After-sales services and handling of complaints form

Answer: A. customer support service

Why correct: After-sales service and complaint handling are customer support.

B is wrong: Not pricing policy.

C is wrong: Not physical distribution.

D is wrong: Not grading.

41. Plotting brands on two attributes to find white space is

Answer: B. perceptual mapping

Why correct: Plotting brands on two attributes shows gaps: perceptual mapping.

A is wrong: SWOT analyses strengths.

C is wrong: Break-even is a cost tool.

D is wrong: ABC analysis ranks items by value.

42. The oldest and most basic marketing orientation is the

Answer: D. production concept

Why correct: The production concept is the oldest orientation.

A is wrong: Societal is the newest.

B is wrong: Marketing concept came later.

C is wrong: Selling concept came after production.

43. Store layout, music, lighting and scent are

Answer: B. situational factors

Why correct: Store layout, music, lighting and scent are the situation at the point of purchase.

A is wrong: Legal factors are laws.

C is wrong: Economic factors are money.

D is wrong: Cultural factors are values.

44. Research that tests cause-and-effect relationships through experiments is

Answer: B. causal research

Why correct: Testing cause and effect by experiments is causal research.

A is wrong: Secondary research uses existing data.

C is wrong: Exploratory explores.

D is wrong: Descriptive describes.

45. Packaging is often called the 'silent salesman' because it

Answer: C. promotes and identifies the product on the shelf

Why correct: A good pack attracts attention without a salesperson.

A is wrong: Credit terms are part of price decisions.

B is wrong: Pricing is a separate decision.

D is wrong: Channels are a place decision.

46. Luxury cars are usually sold through

Answer: B. exclusive distribution

Why correct: Few chosen dealers protect image and service.

A is wrong: Vending is for low-value impulse items.

C is wrong: Door-to-door does not suit this product.

D is wrong: Intensive suits everyday goods.

47. Total error in a study is the sum of

Answer: B. sampling error and non-sampling error

Why correct: Total error = sampling error + non-sampling error.

A is wrong: That is incomplete.

C is wrong: Not how total error is defined.

D is wrong: That leaves out non-response error.

48. Intense competition and price cutting are typical of the

Answer: D. maturity stage

Why correct: Sales growth slows and rivals fight for share.

A is wrong: The idea stage is before launch.

B is wrong: Pre-launch has no sales yet.

C is wrong: There are few rivals at introduction.

49. If unit cost is Rs 80 and mark-up is 25% on cost, the price is

Answer: A. Rs 100

Why correct: 25% of 80 is 20, so price = 80 + 20 = 100.

B is wrong: Rs 120 would need a mark-up of 50%.

C is wrong: Rs 95 would need a mark-up of 18.75%.

D is wrong: Rs 105 would need a mark-up of 31.25%.

50. Paid, non-personal presentation of ideas or products by an identified sponsor is

Answer: B. advertising

Why correct: Advertising is paid and non-personal.

A is wrong: Sales promotion offers short-term incentives.

C is wrong: PR is not directly paid for in media.

D is wrong: Personal selling is face-to-face.